NEPAL CHARTERED ACCOUNTANTS REGULATIONS, 2061

(With amendments up to the Thirteenth Amendment, 2082)

(Unofficial Translation)

	Particulars	**Date (BS)**
	Date of approval by Nepal Government	2061/07/30
	Amendments (Date of approval)	
1	Nepal Chartered Accountants (First Amendment) Regulations, 2061	2063/03/29
2	Nepal Chartered Accountants (Second Amendment) Regulations, 2061	2067/09/20
3	Nepal Chartered Accountants (Third Amendment) Regulations, 2061	2068/11/30
4	Nepal Chartered Accountants (Fourth Amendment) Regulations, 2061	2070/10/24
5	Nepal Chartered Accountants (Fifth Amendment) Regulations, 2061	2072/06/17
6	Nepal Chartered Accountants (Sixth Amendment) Regulations, 2061	2074/03/26
7	Nepal Chartered Accountants (Seventh Amendment) Regulations, 2061	2074/12/19
8	Nepal Chartered Accountants (Eighth Amendment) Regulations, 2061	2075/03/22
9	Nepal Chartered Accountants (Ninth Amendment) Regulations, 2061	2076/05/02
10	Nepal Chartered Accountants (Tenth Amendment) Regulations, 2061	2077/10/08
11	Nepal Chartered Accountants (Eleventh Amendment) Regulations, 2061	……
12	Nepal Chartered Accountants (Twelfth Amendment) Regulations, 2061	2078/08/15
13	Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061	2082/03/32

In exercise of the powers conferred by Sub-section (1) of Section 47 of the Nepal Chartered Accountants Act, 2053, the Council constituted under Section 7 of the said Act has framed the following Regulations.

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Chapter-1
Preliminary

1. [1]Short title and commencement:–

(1) These Regulations shall be called the "Nepal Chartered Accountants Regulations, 2061".

(2) These Regulations shall come into force from the date of approval by the Nepal Government.

2. Definitions:–

Unless the subject or context otherwise requires, in these Regulations:

(a) "Act" means the Chartered Accountants Act, 2053.

(b) "Committee" means a committee constituted pursuant to Section 13 of the Act.

(c) "Registered Trainee (Articled Trainee)" means a trainee registered to take training pursuant to Rule 24.

(d) "Address of member" means the place of conducting such practice if the member conducts accounting profession, the address of the office where employed if engaged in any employment, or the place specified by him/her if not engaged in employment.

(e) [2]"Higher secondary level" means the higher secondary level (ten plus two) passed from an educational institution recognized by the Nepal Government or a level equivalent thereto.

(f) [3]"Bachelor's level" means a bachelor's degree from a university located in Nepal or, in the case of a foreign university, a bachelor's degree for which equivalence has been obtained.

(g) "Year or fiscal year" means the period commencing from the 1st of Shrawan of a year until the end of Ashadh of the next year.

(h) "Registered training" means the training taken under Chapter 3.

(i) "Principal" means a chartered accountant member who may keep registered trainees in registered training pursuant to Rule 24.

(j) [4]"Registration Book" means the book prepared by the Institute for registering membership pursuant to Sub-rule (1) of Rule 44, and the term also includes the details recorded in the computer system for membership registration.

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[1]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[2]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[3]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[4]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.

(k) "Accounting profession" means the work of auditing professionally, and the term also includes accounting-related services provided by members of the Institute as experts.

(l) "Accounting practitioner" means a member of the Institute conducting accounting profession.

(m) "Accounting firm" means an accounting practitioner firm, company or institution registered with the Institute under Sub-rule (1) of Rule 57 for conducting accounting profession.

(n) "Accounting Technician" means a person who has obtained the Accounting Technician certificate pursuant to Rule 101.

(o) [5]"Serving member" means a member serving as a full-time employee in a government, semi-government, non-governmental, private or public body, educational institution or other body.

Chapter-2
Provisions relating to Chartered Accountancy Education and its Examination

3. [6]Chartered Accountancy Education:–

(1) The Institute shall provide the following chartered accountancy education:

(a) Chartered Accountancy Education Foundation Level,

(b) Chartered Accountancy Education Intermediate Level,

(c) Chartered Accountancy Education Final Level.

(2) A person wishing to receive education under Sub-rule (1) must apply to the Institute and register his/her name in accordance with this Chapter.

(3) Notwithstanding anything written in Sub-rule (1), the Council may determine the nomenclature of the levels of chartered accountancy education as required.

4. [7]Qualification:–

For the purpose of Sub-rule (1) of Rule 3, the qualification of a person wishing to receive the following chartered accountancy education shall be as follows:

(a) For the Foundation Level, having passed the higher secondary level examination with at least two GPA or equivalent grade or percentage, or having passed the bachelor's or master's level,

[5]Inserted by the Nepal Chartered Accountants (Second Amendment) Regulations, 2061.
[6]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[7]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.

(b) For the Intermediate Level, having passed the bachelor's level examination with at least fifty percent average marks or two decimal five (2.5) GPA or equivalent grade, or having passed the Foundation Level examination,

(c) For the Final Level, having passed the Chartered Accountancy Education Intermediate Level examination.

5. Provisional registration of name:–

(1) Notwithstanding anything written in Sub-rule (1) of Rule 4, a person who has taken the final examination of the educational qualification required under Clause (a) or (b) of that Sub-rule may register his/her name provisionally with the Institute for receiving chartered accountancy education even where the result of such examination has not yet been published.

(2) A person who has registered his/her name under Sub-rule (1) must submit the certificate of the prescribed educational qualification and complete registration within six months.

(3) The registration of a person who cannot complete permanent registration within the period under Sub-rule (1) shall automatically be cancelled upon expiry of that period, and the fee and any other amount paid to the Institute under Sub-rule (1) of Rule 7 at the time of registration shall not be refunded.

6. Format of application to be submitted for registration:–

The format of applications to be submitted for registration for Chartered Accountancy Education Foundation Level, Intermediate Level and Final Level under Sub-rule (1) of Rule 4 shall be as per Schedule-1, Schedule-2 and Schedule-3 respectively.

7. Payment of fee:–

(1) The fee to be paid by a person wishing to receive chartered accountancy education under this Chapter shall be as prescribed in Schedule-4.

(2) The fee under Sub-rule (1) must be paid at the time of applying to the Institute for registering his/her name for that purpose.

8. Submission of copy of agreement:–

(1) If an application for registration under Sub-rule (3) of Rule 3 has been made to receive Chartered Accountancy Final Level education, a copy of the agreement made under Sub-rule (2) of Rule 24 must be submitted along with such application within one month of the date of such agreement.

(2)[8] [Omitted by amendment]

[8]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.

(3)[9] [Omitted by amendment]

9. [10]Syllabus of chartered accountancy education:–

(1) The syllabus of chartered accountancy education shall be as stated in Schedule-5.

(2)[11] A student registered with the Institute at the time of commencement of this Rule, or when Schedule-5 of these Regulations is amended or altered, shall be entitled to sit the eligibility test and final examination under the syllabus of the level in which he/she was registered at the time of registration, for the period prescribed by the Council.

(3) The time limit and other provisions relating to examinations that may be taken under the old syllabus pursuant to Sub-rule (2) shall be as prescribed by the Council.

(4) A student entitled to take examinations under the then-existing syllabus pursuant to Sub-rule (2) shall not be barred from registering in the revised syllabus and taking examinations under the revised syllabus.

(5)[12] A student who has already paid the fee prescribed by the Institute prior to the commencement of these Regulations need not pay an additional amount for the revised syllabus at the same level.

However, the amount for examination-related fee and new study materials under Schedule (4) must be deposited.

10. Medium of examination:–

The medium of the chartered accountancy examination to be conducted under this Chapter shall be Nepali or English as determined by the Council.

11. Conduct of chartered accountancy examination:–

(1) Chartered accountancy examinations shall be held twice a year as determined by the Institute.

(2) The date, place and time of holding the examination determined under Sub-rule (1) must be published in a national-level daily newspaper.

12. Qualifying (Eligibility) test:–

(1)[13] An examinee wishing to sit the chartered accountancy education examination to be conducted under this Chapter must pass the eligibility test conducted by the Council within three years of the date of registration under Sub-rule (3) of Rule 3, and the procedure for conducting such test shall be as prescribed by the Council.

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[9]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[10]Amended by the Nepal Chartered Accountants (First Amendment) Regulations, 2061.
[11]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[12]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[13]Amended by the Nepal Chartered Accountants (Tenth Amendment) Regulations, 2061.

(2) The name of a person who has not passed the eligibility test under Sub-rule (1) shall automatically be cancelled and, if such person is in training under Rule 24, his/her training shall be deemed automatically terminated.

(3) A person who passes the eligibility test under Sub-rule (1) shall be given a certificate of passing the eligibility test in the format of Schedule-6.

(4)[14] Notwithstanding anything written elsewhere in this Rule, a person whose registration has been cancelled under Sub-rule (2) may re-register within one year of the date of cancellation. A person who re-registers in that way need not re-sit the group examination, eligibility test and subject exemption examination under Rule 16 already passed at that level.

(5)[15] A person who re-registers within the period under Sub-rule (4) need not retake the training previously recognized by the Institute.

(6)[16] A person who re-registers within the period under Sub-rule (4) may complete only the remaining period of training by deducting the period of registered training previously obtained under Rule 24 and making a training agreement.

13. May sit chartered accountancy examination:–

(1)[17] A person who has completed nine months after registering his/her name with the Institute for education at the relevant level under Sub-rule (3) of Rule 3 and has passed the eligibility test under Sub-rule (1) of Rule 12 shall be deemed eligible to sit the chartered accountancy examination.

(2) Notwithstanding anything written in Sub-rule (1), a person may sit the Chartered Accountancy Final Level examination in the following circumstances:

(a) [18]six (6) months completed from the date of registration under Sub-rule (3) of Rule 3,

(b) having passed the eligibility test under Sub-rule (1) of Rule 12,

(c) the period of registered training to be completed under Rule 24, as on the first day of the month in which the examination is held, remaining less than twelve months.

(3)[19] [Omitted by amendment]

(4)[20] Notwithstanding anything written in Sub-rule (1), a person may sit the Chartered Accountancy Education Foundation Level examination in the following circumstances:

[14]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[15]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[16]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[17]Amended by the Nepal Chartered Accountants (Fourth Amendment) Regulations, 2061.
[18]Amended by the Nepal Chartered Accountants (Fourth Amendment) Regulations, 2061.
[19]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[20]Inserted by the Nepal Chartered Accountants (Third Amendment) Regulations, 2061.

(a) [21]six months completed from the date of registration under Sub-rule (3) of Rule 3,

(b) having passed the eligibility test under Sub-rule (1) of Rule 12.

14. Filling in examination form:–

(1) A person wishing to sit the chartered accountancy examination must submit the examination application form to the Institute within the period prescribed by the Council. When sitting such examination, the format of the application form for Foundation Level, Intermediate Level and Final Level shall be as per Schedule-7, Schedule-8 and Schedule-9 respectively.

(2) When submitting the examination form under Sub-rule (1), the examination fee under Schedule-4 must also be deposited.

(3) If the application form submitted under Sub-rule (1) is approved by the Examination Committee, an admission card shall ordinarily be issued to the concerned examinee two weeks before the date of holding the examination.

(4) A person who has received the admission card under Sub-rule (3) may enter the examination hall as an examinee.

(5) Notwithstanding anything written in Sub-rule (4), a person authorized by the Examination Committee may, stating the reason, prohibit any examinee from entering the examination hall or expel him/her from the examination hall if the examinee's conduct is contrary to examination decorum.

15. Marks required to pass the examination:–

(1) The syllabus under Rule 9 shall be divided into two groups as determined by the Council, and an examinee may sit the examination of one group or both groups at a time.

(2) A person sitting an examination of any level of chartered accountancy education must obtain at least forty percent in each subject and at least fifty percent average marks in each group in order to pass.

(3) Notwithstanding anything written in Sub-rule (2), if an examinee sits the examination of both groups at the same time, both groups shall be treated as one group and the average marks shall be determined accordingly.

(4) If, when determining average marks under Sub-rule (3), the average marks are below fifty percent and the examinee could not pass, but the examinee has obtained fifty percent or more average marks in any group, such examinee shall be deemed to have passed the examination of that group.

[21]Amended by the Nepal Chartered Accountants (Fourth Amendment) Regulations, 2061.

16. [22]Subject exemption facility:–

If an examinee sitting the chartered accountancy Intermediate or Final Level examination has obtained at least thirty percent marks in any subject of any group and at least fifty-five percent marks in any subject, then for up to three consecutive examinations thereafter he/she shall get subject exemption in the subject in which he/she obtained at least fifty-five percent marks and need not sit the examination again in that subject.

However, an examinee who has not sat the examination of all subjects of a group, other than the subject in which exemption was received under this Rule, shall not get this facility.

16A. [23]Subject exemption facility for Registered Auditors:–

The Council may give subject exemption facility as follows to Registered Auditors who have obtained the following education:

(a) If the Intermediate Level examination of a recognized foreign chartered accountants institute is passed, the Intermediate Level examination of the Chartered Accountancy Education of the Institute of Chartered Accountants of Nepal.

(b) [24]If any group of the Intermediate Level of chartered accountancy education of a recognized foreign chartered accountants institute is passed, and those same subjects are in the Intermediate Level of chartered accountancy education of the Institute of Chartered Accountants of Nepal, those subjects.

(c) [25]Having completed a bachelor's or master's degree in commerce science or management science or business administration taking subjects relating to accounting, auditing, cost accounting, financial management or taxation, and having obtained 50 (fifty) percent marks at the said level, if the subject matches a subject of the Intermediate Level of chartered accountancy education, that subject.

(d) [26]Notwithstanding anything written in Clause (c), if a bachelor's or master's degree in commerce science or management science or business administration has been passed with at least fifty percent marks or two decimal five (2.5) GPA or equivalent grade, all subjects of the Intermediate Level of chartered accountancy education.

16B. [27]Subject exemption facility for Accounting Technicians:–

If persons who have completed the accounting technician education conducted by this Institute and who are eligible for registration at the Intermediate Level of chartered accountancy education wish to obtain chartered accountancy education, and the subjects

[22]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[23]Inserted by the Nepal Chartered Accountants (Second Amendment) Regulations, 2061.
[24]Inserted by the Nepal Chartered Accountants (Fifth Amendment) Regulations, 2061.
[25]Amended by the Nepal Chartered Accountants (Fifth Amendment) Regulations, 2061.
[26]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[27]Inserted by the Nepal Chartered Accountants (Fifth Amendment) Regulations, 2061.

passed in the accounting technician education are in the Intermediate Level of chartered accountancy education, the Council may give exemption in those subjects of the Intermediate Level.

17. Publication of examination results:–

(1) The Examination Committee shall publish the result of the chartered accountancy examination.

(2) When publishing results under Sub-rule (1), an examinee who passes by obtaining at least seventy-five percent average marks shall be deemed to have passed with distinction, and the names of up to ten examinees passing with such marks shall be published with rank order of merit determined on the basis of marks obtained by them.

However, names of examinees who sat only one group at a time or who passed by obtaining the subject exemption facility shall not be included in the order of merit.

(3)[28] An examinee dissatisfied with the result published under Sub-rule (1) may, within ten days of the date of publication of the result, apply to the Institute for re-totaling in the format of Schedule-10 along with the fee under Schedule-4.

(4)[29] If an application is received under Sub-rule (3), the Examination Committee shall carry out, or cause to be carried out, re-totaling within twenty-one days and give the result to the concerned examinee.

(5)[30] When publishing the revised marks after re-totaling under Sub-rule (4), if the concerned examinee passes the examination of any group, he/she shall be deemed to have passed that group and, if he/she is entitled to the subject exemption facility under Rule 16, shall also get that. In such case he/she need not complete the minimum period under Sub-rule (1) of Rule 13 to sit the chartered accountancy examination.

(6) Notwithstanding anything written elsewhere in this Rule, the Examination Committee may, stating the reason, cancel the result of an examinee who has passed by obtaining the prescribed marks if it has to be cancelled for any reason.

However, before so cancelling the result, the concerned person shall not be deprived of the opportunity of being heard.

18. May revise results:–

To maintain the quality of the chartered accountancy examination, the Council may, if it deems it appropriate and suitable to revise results, make necessary alterations or amendments in the marks obtained by examinees in any or all subjects and publish the revised results.

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[28]Amended by the Nepal Chartered Accountants (Tenth Amendment) Regulations, 2061.
[29]Amended by the Nepal Chartered Accountants (Tenth Amendment) Regulations, 2061.
[30]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.

19. Certificate of passing the examination:–

(1) A person who has passed the chartered accountancy examination of each level shall be given a certificate of passing the examination of the same level.

However, in the case of the Chartered Accountancy Final Level examination, such certificate shall be given only after the concerned examinee has completed the registered training under Rule 24.

(2) When giving the certificate under Sub-rule (1), persons who pass the Chartered Accountancy Foundation Level, Intermediate Level and Final Level examinations shall be given it in the format of Schedule-11, Schedule-12 and Schedule-13 respectively.

20. Period within which examination must be passed:–

(1)[31] Under this Chapter, the Chartered Accountancy Education Foundation Level examination must be passed within three years from the date of registering the name for receiving education at that level, and the Intermediate Level examination within five years from the date of registering the name for receiving education at that level.

(2) The registration of a person who has not passed the examination within the period under Sub-rule (1) shall automatically be cancelled.

(3)[32] A person whose registration has been cancelled under Sub-rule (2) and who wishes to sit the examination again must re-register within one year of the date of cancellation.

(4)[33] The following examinations need not be passed again:

(a) the group eligibility test already passed under Sub-rule (1) of Rule 12 by a student who, unable to pass the relevant level within the period under Sub-rule (1), has re-registered under Sub-rule (3),

(b) the examination already passed under Rule 15.

(5)[34] When re-registering under Sub-rule (3), subject exemption obtained under Rule 16 shall be valid up to the same period mentioned in that Rule.

(6)[35] Notwithstanding anything written in Sub-rule (3), the exemption facilities mentioned in Sub-rules (4) and (5) at the time of re-registration under that Sub-rule shall be valid only once.

(7)[36] A student who has re-registered under Sub-rule (3) need not again complete the minimum period under Rule 13 and, if such student has already taken training recognized by the Institute, need not retake such training.

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[31]Amended by the Nepal Chartered Accountants (Fourth Amendment) Regulations, 2061.
[32]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[33]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[34]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[35]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[36]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.

(8)[37] A person who has re-registered within the period under Sub-rule (3) may complete only the remaining period of registered training by deducting the period of registered training previously obtained under Rule 26 and making a training agreement.

21. [38]Power to take action:–

If a centre chief, invigilator, examinee or any other person deputed by the Council or the Examination Committee does any act inside or outside the examination centre contrary to the decorum of the chartered accountancy examination conducted under this Chapter, the Examination Committee may, whether or not cancelling such examination, take such action against the centre chief, invigilator, examinee or other person doing or causing to be done such act as it deems appropriate.

However, before taking such action, he/she shall not be deprived of a reasonable opportunity. For that, he/she shall be given an opportunity to submit his/her clarification within seven days.

22. Permission to conduct preparatory classes:–

(1) The Council may grant permission to any educational institution established under law to conduct preparatory classes of chartered accountancy education.

(2) An institution that has obtained permission under Sub-rule (1) must conduct preparatory classes in accordance with the directives prepared by the Council for that purpose.

23. [39]Post-qualification and specialization education:–

(1) The Council may arrange post-qualification education in subjects relating to accounting profession for chartered accountant members.

(2) The Council may run specialization courses and certification courses in subjects relating to accounting profession for others including members.

(3) The details of the education to be arranged under Sub-rules (1) and (2) shall be as determined by the Council.

Chapter-3
Provisions relating to Chartered Accountancy Training

24. Registered training:–

(1)[40] A person wishing to obtain chartered accountancy membership of the Institute under Section 16 of the Act must take three years' registered training relating to accounting profession as a registered trainee from a chartered accountant member (principal) who has

[37]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[38]Amended by the Nepal Chartered Accountants (Tenth Amendment) Regulations, 2061.
[39]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[40]Amended by the Nepal Chartered Accountants (Fifth Amendment) Regulations, 2061.

obtained a professional certificate. Except in the circumstance of Sub-rule (2) of Rule 8, such training must be commenced before registering the name at the Institute for Chartered Accountancy Final Level education.

However, registered training exemption of up to two years in the case of a registered auditor who has fulfilled the conditions prescribed by the Council, and up to 18 months in the case of an accounting technician, may be given.

(2) A person who is to take training under Sub-rule (1) must make an agreement in the format of Schedule-14 with the chartered accountant member under that Sub-rule to take training as a registered trainee.

(3) The Institute shall maintain records of registered trainees under Sub-rule (1) in a register in the format of Schedule-15.

25. [41]Limit of trainees that may be kept:–

(1) A principal engaged in accounting profession who has completed the following period may keep registered trainees in training service up to the following number at a time:

(a) In the case of a sole firm:

(1) for a period of less than three years, two persons,

(2) on completion of three years, three persons,

(3) on completion of five years, five persons,

(4) on completion of seven years, seven persons,

(5) on completion of ten years, ten persons,

(6) on completion of fifteen years, fifteen persons.

(b) In the case of a partnership firm having two partners, per partner:

(1) for a period of less than three years, two persons,

(2) on completion of three years, four persons,

(3) on completion of five years, six persons,

(4) on completion of seven years, eight persons,

(5) on completion of ten years, eleven persons,

(6) on completion of fifteen years, sixteen persons.

(c) In the case of a partnership firm having three partners, per partner:

(1) for a period of less than three years, two persons,

(2) on completion of three years, five persons,

[41]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.

(3) on completion of five years, seven persons,

(4) on completion of seven years, nine persons,

(5) on completion of ten years, twelve persons,

(6) on completion of fifteen years, seventeen persons.

(d) In the case of a partnership firm having four or more partners, per partner:

(1) for a period of less than three years, two persons,

(2) on completion of three years, six persons,

(3) on completion of five years, eight persons,

(4) on completion of seven years, ten persons,

(5) on completion of ten years, thirteen persons,

(6) on completion of fifteen years, eighteen persons.

(2) Without exceeding the limits mentioned in Sub-rule (1), the Council may, stating the reason, alter the period to be completed by a principal and the number of registered trainees that may be kept.

(3) If a chartered accountant member who was serving as a full-time employee in an organized institution has left such service and commenced accounting profession, for the purpose of this Rule such service period of three years, five years and eight years or more shall be deemed to be accounting profession of one year, three years and five years respectively.

(4) In the case of an Accounting Technician, the limit of trainees that may be kept shall be as determined by the Accounting Technician Board.

26. May keep additional trainees:–

Notwithstanding anything written in Rule 25, in the following circumstances a chartered accountant member may keep additional trainees for the following periods, and the numerical limit of that Rule shall not apply to such trainees:

(a) Where the registered training completed by a person who obtained a professional certificate from a foreign accounting institute was not in conformity with the period or criteria under these Regulations and such person has to take such training for an additional period, up to that period,

(b) If the chartered accountant member giving training dies, or his/her name is removed from the register, or he/she abandons accounting profession, up to the remaining period to complete registered training from the date of such death, removal or abandonment,

(c) Where registered training is broken due to the circumstances of Sub-rule (2) of Rule 12, Sub-rule (3) of Rule 36 or Sub-rule (3) of Rule 37, up to the period of such break.

27. Training allowance:–

(1)[42] The chartered accountant giving training to a registered trainee in registered training under these Regulations must pay a minimum training allowance of two thousand rupees per month in the first year, two thousand five hundred rupees in the second year and three thousand rupees in the third year.

(2) Notwithstanding anything written in Sub-rule (1), the Council may, stating the reason, alter the monthly rate of training allowance from time to time.

28. Special industrial training:–

(1)[43] If the principal deems it appropriate to give a registered trainee practical knowledge of a business of any special nature, or if the registered trainee makes a written request at least one month in advance in that regard, the principal may, with the prior consent of such institution or trainer, depute the trainee for special industrial training with a chartered accountant member having more than five years' experience, working or holding office in any of the following institutions:

(a) Office of the Auditor General,

(b) Organized institutions fully or partially owned by the Nepal Government,

(c) Companies or bodies prescribed as mandatorily required to apply Nepal Financial Reporting Standards (NFRS) implemented by the Institute (excluding the standards applied to small and medium entities, non-profit entities and micro entities),

(d) Constitutional bodies, and offices or regulatory bodies under the Nepal Government, Provincial Government and Local Government,

(e) Any other entity the Council deems appropriate.

(2) Notwithstanding anything written in Sub-rule (1), a registered trainee who has not taken registered training from the principal for at least two years cannot take training under this Rule.

(3) A chartered accountant member giving training under Sub-rule (1) may give training to up to two registered trainees at a time.

(4) The training period under Sub-rule (1) shall not exceed one year, and the training received in that period shall be deemed registered training under Rule 24.

(5) The training allowance under Rule 27 must be paid to a registered trainee deputed for training under Sub-rule (1) by the institution to which he/she is deputed.

However, this Sub-rule shall not obstruct an institution from providing additional allowance or facilities.

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[42]The training allowance has been increased as per the decision of the 283rd meeting of the Council.

[43]Amended by the Nepal Chartered Accountants (Tenth Amendment) Regulations, 2061.

(6) If a registered trainee is deputed for special industrial training under Sub-rule (1), from the date of deputation the place of the trainee that may be kept under Sub-rule (1) of Rule 25 shall be deemed vacant.

(7) Notwithstanding anything written elsewhere in this Rule, prior approval of the Council must be obtained before sending any registered trainee to take registered training under a foreign chartered accountant.

29. Trainees may be exchanged:–

(1) If it is necessary to impart special skill or proficiency in a particular subject to a registered trainee, a principal may, after consulting another principal and informing the Institute, depute trainees to each other for training.

(2) The period of training so deputed under Sub-rule (1) shall not exceed one year.

30. Certificate of completion of training service:–

(1) After a registered trainee completes registered training under the agreement made under Sub-rule (2) of Rule 24, the principal must inform the Institute of that fact in the format of Schedule-16.

(2) Upon receipt of information under Sub-rule (1), a certificate of completion of registered training service shall be issued by the Institute on the basis of such information in the format of Schedule-17.

31. Must give information:–

If a principal dies, abandons accounting profession or becomes unable to give training for any other reason before expiry of the period of the agreement made under Sub-rule (2) of Rule 24, a partner of such principal if any, and if none the legal representative of the principal or an employee serving in his/her accounting firm, must inform the Institute within thirty days of the details of registered training in the format of Schedule-18.

32. Must maintain details of training (periodically):–

(1) The principal must maintain a separate log book of details of each trainee in the format of Schedule-19 for registered trainees in registered training under this Chapter.

(2) On the basis of the log book of details under Sub-rule (1), the principal must send the details of registered trainees in registered training service in the format of Schedule-20 every six months or when demanded by the Institute.

(3) It shall be the duty of the concerned principal to allow office-bearers of the Institute to inspect the details maintained under Sub-rule (1) during on-site inspection at any time.

33. Training agreement may end:–

(1) The agreement made under Sub-rule (2) of Rule 24 may be terminated at any time by mutual consent of the registered trainee and the principal.

(2) If such agreement is terminated under Sub-rule (1), information with the signatures of both must be sent to the Institute within seven days thereof.

(3) If the agreement is terminated under Sub-rule (1), the registered trainee may make an agreement with another principal to undergo registered training for the remaining period.

(4) Notwithstanding anything written in Sub-rule (1), if a registered trainee is absent from taking training for more than fifteen consecutive days without notice, the principal may apply to the Institute for approval to terminate the agreement mentioned in that Sub-rule.

(5) If an application is received by the Institute under Sub-rule (4), the Institute shall make necessary inquiry and, if found reasonable, give approval to terminate such agreement.

(6) If the agreement is terminated under Sub-rule (5), the place of such trainee shall be deemed vacant for the purpose of Sub-rule (1) of Rule 25.

(7) Notwithstanding anything written elsewhere in this Rule, the principal with the prior approval of the Institute, or the trainee by giving at least one month's prior notice, may terminate such agreement at any time.

34. Leave to be received by registered trainee:–

(1) During the period in training service, a registered trainee shall get leave of forty days each year excluding public holidays and one hundred twenty days in the entire training period, and if any public holiday falls within the period of leave, such holiday shall also be counted in the period of leave taken.

(2) If a registered trainee takes leave for a period exceeding that mentioned in Sub-rule (1), he/she must make an additional agreement and take registered training service for the excess period of leave.

35. Time for training service by registered trainee:–

The working hours of a registered trainee in registered training service shall be forty hours per week, and the training service time must be within the period from nine o'clock in the morning to six o'clock in the evening.

36. Why action may be taken against registered trainee:–

(1) If the principal files a complaint with the Institute alleging that a registered trainee has not complied with the terms of the agreement under Sub-rule (2) of Rule 24 or has behaved indecently, the Council may have necessary inquiry made in that regard.

(2) If upon inquiry under Sub-rule (1) such trainee is found not to have complied with the terms of the agreement or to have behaved indecently, the Council may take action by cancelling his/her registration or ordering him/her to remain in additional training service for six months to one year.

However, before taking such action, he/she shall not be deprived of a reasonable opportunity to submit clarification.

(3) If upon inquiry under Sub-rule (1) the complaint is found to be baseless or malicious, the Council may order termination of all agreements of registered trainees made with the principal who filed such complaint, and it shall be the duty of the person concerned to comply with such order. If further action is to be taken against such principal, action in that regard may also be taken.

However, before issuing such order, the concerned complainant principal shall not be deprived of a reasonable opportunity to submit clarification.

37. Why action may be taken against principal:–

(1) If any registered trainee files a complaint with the Institute alleging that a principal has not complied with the agreement made with the registered trainee under Sub-rule (2) of Rule 24, or has not complied with the conduct to be complied with by a principal as written in these Regulations, or has behaved indecently or maliciously, the Council may have necessary inquiry made in that regard.

(2) If upon inquiry under Sub-rule (1) the principal is found not to have complied with such agreement, or his/her conduct is not in accordance with these Regulations, or he/she has behaved indecently or maliciously, the Council may caution such principal, or order him/her not to fill/cause to fill, for six months to one year, the vacant remaining number of registered trainees out of the maximum number that may be kept under Sub-rule (1) of Rule 25, and it shall be the duty of the concerned principal to comply with such order.

However, before taking such action, he/she shall not be deprived of an opportunity to submit clarification.

(3) If upon inquiry under Sub-rule (1) the complaint is found to be baseless or malicious, the Council may order the cancellation of the registration of the registered trainee who made such complaint or that he/she must render additional registered training service for five months to one year.

However, before taking such action, he/she shall not be deprived of a reasonable opportunity to submit clarification.

(4) Notwithstanding anything written elsewhere in these Regulations, if a registered trainee who has filed a complaint under Sub-rule (1) does not wish to remain a registered trainee with his/her principal, he/she may remain in registered training with any other principal as an additional trainee under Rule 26.

38. [44][Omitted] [Omitted by amendment]:–

39. Not to take financial benefit from trainee:–

A principal shall not receive any kind of fee, donation, charge, loan, deposit or any other kind of financial benefit or facility from a registered trainee in training service.

[44]Amended by the Nepal Chartered Accountants (Tenth Amendment) Regulations, 2061.

Chapter-4
Provisions relating to Membership

40. Application for chartered accountant membership:–

A person who has attained the following qualification must apply to the Institute in the format of Schedule-21 with the fee prescribed in Schedule-4 to register his/her name for chartered accountant membership under Clause (a) of Sub-section (1) of Section 16 of the Act:

(a) having passed the Chartered Accountancy Final Level examination and completed the registered training under Rule 24,

(b) [45]having obtained the qualification of chartered accountant from a foreign accounting institute and obtained membership of such institute.

41. Must sit examination:–

(1) Notwithstanding anything written in Rule 40, a person who has obtained the qualification of chartered accountant from a foreign accounting institute must pass the examination to be taken by the Institute for that purpose before applying under that Rule.

(2) To sit the examination under Sub-rule (1), an application must be made to the Institute in the format of Schedule-22 with the fee prescribed in Schedule-4.

(3) When applying under Sub-rule (2), the details of the subjects studied and passed by him/her and proof thereof must also be submitted.

(4) When taking the examination from the Institute under Sub-rule (1), the following subjects must be taken:

(a) Commercial law of Nepal,

(b) Tax system of Nepal and provisions relating to direct and indirect taxes,

(c) Any other subject among those already studied by the applicant which the Council determines to be inadequate for conducting accounting profession in Nepal.

(5) Regarding the subject determined by the Council under Clause (c) of Sub-rule (4), notice must be given at least two months before the examination is held.

(6) The syllabus of the subjects to be examined under Sub-rule (4), the medium of examination, the minimum marks required to pass, and other matters relating to the examination shall be the same as for the Chartered Accountancy Final examination.

(7)[46] Notwithstanding anything written elsewhere in this Rule, if a person has obtained membership of a foreign accounting institute and the training period obtained by him/her

[45]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[46]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.

is less than three years, a person who has obtained such certificate must, before applying under Rule 40, take registered training under these Regulations for the shortfall period.

41A. [47]Must complete internship:–

(1)[48] A person who has passed the chartered accountancy examination from a foreign accounting institute recognized under Section 27 of the Act must complete internship as prescribed by the Council in order to obtain membership or a professional certificate of the Institute.

(2) The procedure relating to internship shall be as prescribed by the Council.

42. Application for Fellow Chartered Accountant membership:–

A person wishing to obtain Fellow Chartered Accountant (FCA) membership must apply to the Institute in the format of Schedule-23 with the fee prescribed in Schedule-4.

43. Action on application, may call for details:–

(1) The Council shall ordinarily complete inquiry and take action within thirty days on an application submitted to the Institute under Rule 40 or 42.

(2) When taking action under Sub-rule (1), if any document or details are required regarding any applicant, the Council may call for such document or details from the concerned applicant, and if so called, the applicant must provide such document or details to the Institute as far as possible.

(3) When taking action on an application under Rule 40 or 42, if for any reason a decision on granting or not granting membership cannot be concluded within the period under Sub-rule (1), or if it is not appropriate to grant membership, the Institute must inform the applicant stating the reason therefor.

44. Registering name and giving certificate:–

(1) If a person who has applied under Rule 40 is found eligible to be a member of the Institute, the Institute shall register his/her name in the register of members of the Institute prepared in the format of Schedule-24 and give him/her a certificate thereof in the format of Schedule-25.

(2) If a person who has applied under Rule 42 is found suitable to be a Fellow Chartered Accountant member of the Institute, a certificate must be given in the format of Schedule-26.

45. Designation of members:–

(1)[49] Members who have obtained membership of the Institute may write and use the following designations in front of their names:

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[47]Inserted by the Nepal Chartered Accountants (Fifth Amendment) Regulations, 2061.

[48]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.

[49]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.

(a) Fellow Chartered Accountant — FCA

(b) Chartered Accountant — CA

(c) Registered Auditor — RA

(2)[50] A Registered Auditor member who has obtained a professional certificate must also state the class of the certificate obtained in the course of professional work.

(3) A person who may write or use a designation under Sub-rule (1), if having obtained membership of any foreign accounting institute, may also write the designation obtained from such institute along with his/her educational qualification.

(4) Notwithstanding anything written in Sub-rule (1), (2) or (3), a member cannot state, in the professional documents used by him/her or on the signboard of an accounting firm, that he/she is a member of the Institute of Chartered Accountants of Nepal or of any other professional or business institution.

(5) The designation of a member or accounting practitioner conducting accounting profession, or of an institution conducting such profession, under the Act and these Regulations shall be as follows:

(a) Chartered Accountant or Fellow Chartered Accountant — Chartered Accountant

(b) Accounting firm of Chartered Accountants or Fellow Chartered Accountants — Chartered Accountants

(c) Registered Auditor — Registered Auditor (in Nepali "Dartawala Lekhaparikshak") or "Registered Auditor"

(d) Accounting firm of Registered Auditors — Registered Auditor or "Registered Auditors"

(6) A member conducting accounting profession, or an institution conducting accounting profession, shall not use any designation other than those mentioned in Sub-rule (5), or any designation related thereto, or another designation in its place.

(7)[51] Notwithstanding anything written elsewhere in these Regulations, if a member or accounting firm conducting accounting profession has obtained membership of any domestic or foreign accounting firm or of an institution owning its network, such accounting firm may, with the prior approval of the Council, use necessary words, sentences or logo showing the relation with such accounting firm in the firm's letterhead, visiting card, website, signboard and other documents.

[50]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[51]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.

46. Must pay annual membership fee:–

(1)[52] Every member must, within sixty days of the date of commencement of the fiscal year, pay to the Institute the annual membership fee as prescribed by the Council from time to time, and renew his/her membership by completing continuing professional education equal to the credit hours under Sub-rule (1) of Rule 55.

(2)[53] If a member cannot renew his/her membership within the period under Sub-rule (1), he/she must pay to the Institute, within sixty days of the expiry of the period under that Sub-rule, the prescribed fee with an additional fee of fifteen percent, and if not renewed even within that period, within sixty days thereafter, the membership fee with an additional fee of twenty-five percent on the prescribed fee.

(3)[54] The membership of a member who does not pay the annual membership fee within the period under Sub-rule (2) and does not complete continuing professional education equal to the credit hours under Sub-rule (1) of Rule 55 shall automatically be cancelled.

(4) Notwithstanding anything written elsewhere in this Rule, a member wishing to pay the annual membership fee in advance may pay it in advance for any number of years.

However, after paying such annual membership fee in advance, if the rate of such fee is altered, the amount of the fee already paid shall be adjusted accordingly.

47. Name to be removed from register:–

(1) The Council may remove the name of a member from the membership register in the following circumstances:

(a) If a member is punished by removal from membership under Clause (b) or (d) of Sub-section 5 of Section 14 of the Act, or the professional certificate or membership certificate of such member is cancelled,

(b) If not eligible to be registered as a member under Section 18 of the Act,

(c) If fee is not paid under Clause (b) of Sub-section (1) of Section 22 of the Act,

(d) If the membership registration certificate or professional certificate of a member is cancelled under Section 23 of the Act, or

(e) If membership is cancelled under Sub-rule (3) of Rule 46.

(2) If the name of a member must be removed from the register under Sub-rule (1), the Council shall remove it with effect from the date determined by it.

(3) When removing a name under Sub-rule (2), notice thereof must be sent to the concerned person at the address given by him/her to the Institute as a member and must also be published publicly.

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[52]Amended by the Nepal Chartered Accountants (Fourth Amendment) Regulations, 2061.
[53]Amended by the Nepal Chartered Accountants (Fourth Amendment) Regulations, 2061.
[54]Amended by the Nepal Chartered Accountants (Fourth Amendment) Regulations, 2061.

(4) If a member whose name has been removed from the membership register under Sub-rule (2) had obtained a professional certificate, such certificate shall be deemed automatically cancelled from the date of such removal of the name.

48. Membership may be re-registered:–

[55]A person whose name has been removed from the membership register because membership was cancelled under Sub-rule (3) of Rule 46, if wishing to re-register his/her membership, may apply to the Institute in the format of Schedule-27, by completing continuing professional education equal to the credit hours under Sub-rule (1) of Rule 55 and paying, for each year for which the annual membership fee was not paid, forty percent additional fee on the annual membership fee determined by the Council, and on receipt of such application his/her name shall be re-registered in the membership register.

However, a member's not having completed continuing professional education equal to the credit hours under Sub-rule (1) of Rule 55 shall not obstruct payment of the annual membership fee, but membership shall be renewed only after completing continuing professional education equal to the determined credit hours. Members who have paid the membership fee but have not completed continuing professional education equal to the determined credit hours need not pay the additional fee under Sub-rule (2) of Rule 46 and Rule 48. Members whose membership has not been renewed due to not completing the determined credit hours shall complete only the determined credit hours in the fiscal year in which they renew.

Chapter-5
Provisions relating to Professional Certificate

49. Application for professional certificate:–

(1) A member wishing to obtain a professional certificate must apply to the Institute in the format of Schedule-28 with the fee prescribed in Schedule-4.

(2) On receipt of an application under Sub-rule (1), after making necessary inquiry, if it is found appropriate to give a professional certificate, the Council shall give a professional certificate in the following format to the following member:

(a) In the format of Schedule-29 if a member who has obtained chartered accountant class membership,

(b) In the format of Schedule-30 if a member who has obtained registered auditor membership.

(3)[56] (a) Notwithstanding anything written in Sub-rule (2), the professional certificate of a serving member shall be suspended.

[55]Amended by the Nepal Chartered Accountants (Fourth Amendment) Regulations, 2061.
[56]Inserted by the Nepal Chartered Accountants (Second Amendment) Regulations, 2061.

(b) The professional certificates of serving members who obtained professional certificates under Clause (b) of Sub-rule (2) of Rule 49 before this Rule came into force shall not be renewed.

(4)[57] A member wishing to obtain a professional certificate must state in the application under Sub-rule (1) of Rule 49 that he/she is not a serving member.

(5)[58] Only members who have obtained professional certificates under Sub-rule (2) may perform audit and certification services. However, in the case of full-time serving members, this shall not obstruct attestation work related to services in the course of discharging their official duties.

50. Validity and renewal of professional certificate:–

(1) A professional certificate shall remain valid until the end of the fiscal year in which it was issued.

(2) A member wishing to renew a professional certificate may renew it from the Institute within sixty days of the expiry of the validity period under Sub-rule (1) by paying the renewal fee prescribed by the Council from time to time.

(3) If a member cannot renew within the period under Sub-rule (2), he/she may renew by paying, within sixty days of the expiry of the period mentioned in that Sub-rule, the prescribed fee with an additional fee of fifteen percent, and if not renewed even within that period, within the next sixty days by paying the prescribed fee with an additional fee of twenty-five percent.

(4) A professional certificate not renewed even within the period under Sub-rule (3) shall automatically be cancelled.

(5) The validity period of a professional certificate renewed under this Rule shall remain for one fiscal year.

(6)[59] Notwithstanding anything stated in other Sub-rules of this Rule, in order to renew a professional certificate, the member must have completed continuing professional education equal to the credit hours under Sub-rule (1) of Rule 55.

51. Professional certificate to be cancelled:–

In addition to Sub-rule (4) of Rule 50, a professional certificate shall be cancelled in the following circumstances:

(a) If proved to have obtained a professional certificate by submitting false details,

(b) If the name of the member is removed from the register,

[57]Inserted by the Nepal Chartered Accountants (Second Amendment) Regulations, 2061.
[58]Inserted by the Nepal Chartered Accountants (Third Amendment) Regulations, 2061.
[59]Inserted by the Nepal Chartered Accountants (Fourth Amendment) Regulations, 2061.

(c) [60]If proved to have engaged in non-accounting profession under Sub-rule (3) of Rule 52.

52. Why professional certificate may be suspended:–

(1) In the following circumstances, the professional certificate shall remain suspended:

(a) If the Council bars a member from conducting accounting profession for a specific period under Clause (c) of Sub-section (5) of Section 14 of the Act,

(b) If a member requests the Council, stating the reason, to suspend the certificate for a certain period, or

(c) If continuing professional education equal to the credit hours under Rule 55 is not completed,

(d) [61]If a registered auditor member enrolls in chartered accountancy education, for the entire period of registered training to be completed in accordance with the Regulations.

(2) A member wishing to release a professional certificate suspended under Sub-rule (1) must apply to the Institute with the renewal fee, and on receipt of such application the Institute shall release it. However, the renewal fee shall not be charged for the period of suspension.

(3)[62] A member who has obtained a professional certificate must not provide non-accounting-profession service or engage in a profession at the same time. If a member who has obtained a professional certificate wishes to engage in any profession or business other than accounting profession, he/she must apply to have his/her professional certificate suspended for that period at least seven days before engaging in such other profession or business.

52A. [63]Right to audit:–

Notwithstanding anything written in the proviso of [64]Sub-rule (2) of Rule (1), serving registered auditor members may, until the end of Ashadh 2080, audit bodies other than the following:

(a) All public companies and private companies with amounts exceeding one crore rupees,

(b) Educational institutions established as private companies with amounts exceeding two crore rupees,

[60]Inserted by the Nepal Chartered Accountants (Second Amendment) Regulations, 2061.
[61]Inserted by the Nepal Chartered Accountants (Fifth Amendment) Regulations, 2061.
[62]Inserted by the Nepal Chartered Accountants (Second Amendment) Regulations, 2061.
[63]Amended by the Nepal Chartered Accountants (Ninth Amendment) Regulations, 2061.
[64]Amended by the Nepal Chartered Accountants (Twelfth Amendment) Regulations, 2061.

(c) Saving and credit cooperative institutions, other than in rural areas, that are taxable with amounts exceeding three crore rupees, and

(d) Private and partnership firms and industries with amounts exceeding two crore rupees.

Explanation: For the purpose of this Rule, "amount" means the amount mentioned in the Explanation of Rule 53.

53. Limit of audit:–

(1)[6566] Limit of audit: For the purpose of Section 30 of the Act, members who have obtained professional certificates are classified as follows, and members who have obtained professional certificates so classified may, subject to the code of conduct prescribed by the Council, audit up to the following limits:

(a) A member who has obtained a Class "A" professional certificate, any amount whatsoever,

(b) A member who has obtained a Class "B" professional certificate, up to one arba (one hundred crore) rupees,

(c) A member who has obtained a Class "C" professional certificate, up to twenty-five crore rupees,

(d) A member who has obtained a Class "D" professional certificate, up to five crore rupees.

(2)[67] The limit amount for audit under this Rule shall be altered by the Council every three years on the basis of the Wholesale Price Index published by Nepal Rastra Bank, and such alteration shall be made effective from the 1st of Shrawan of the same year.

53A. [68]Special provision regarding Accounting Technician's audit:–

Persons who had obtained an Accounting Technician licence at the time of commencement of this Rule, persons who have passed accounting technician education, or persons who enroll in accounting technician education and pass the accounting technician education within the prescribed period, may, after obtaining an Accounting Technician licence, audit up to [69]twenty crore rupees subject to the code of conduct prescribed by the Council.

Explanation: For the purpose of Rules 52A, 53 and 53A, "amount" means the amount of property or liability mentioned in the balance sheet and, in the case of an institution

[65]Amended by the Nepal Chartered Accountants (Eighth Amendment) Regulations, 2061.
[66]The audit limit has been increased as per the decision of the 330th meeting of the Council.
[67]Amended by the Nepal Chartered Accountants (Seventh Amendment) Regulations, 2061.
[68]Amended by the Nepal Chartered Accountants (Fifth Amendment) Regulations, 2061.
[69]Amended by the Nepal Chartered Accountants (Eighth Amendment) Regulations, 2061.

not preparing a balance sheet, the term also includes the amount mentioned in the gross figure of profit and loss or income or expenditure.

54. Class of professional certificate may be promoted:–

(1) A registered auditor who has obtained a Class "C" professional certificate may be promoted to the class of Class "B" registered auditor's professional certificate, and one who has obtained a Class "D" professional certificate may be promoted to the class of Class "C" professional certificate.

(2) When promoting class under Sub-rule (1), a registered auditor member who has obtained a Class "C" professional certificate may be promoted to the Class "B" professional certificate in the following circumstances:

(a) having at least a bachelor's degree in commerce, business administration or management, or at least a master's degree in public administration taking accounting as the main subject, or in economics, statistics or mathematics, and having conducted audit or internal audit, in at least five fiscal years during the last ten years, of a body registered within the Kingdom of Nepal with annual turnover exceeding one crore,

(b) having at least a bachelor's degree in commerce, business administration or management, or at least a master's degree in public administration taking accounting as the main subject, or in economics, statistics or mathematics, and having worked in accounting profession for five years remaining engaged in an accounting firm owned by a chartered accountant, or

(c) having at least a bachelor's degree in commerce, business administration or management, or at least a master's degree in public administration taking accounting as the main subject, or in economics, statistics or mathematics, and having passed the class-promotion examination of Class "B" conducted by the Institute.

(3) When promoting class under Sub-rule (1), a registered auditor member who has obtained a Class "D" professional certificate may be promoted to the Class "C" professional certificate in the following circumstances:

(a) having obtained a bachelor's degree taking subjects of commerce, business administration or management, or mathematics or economics, statistics, and having conducted audit or internal audit, in at least five fiscal years during the last ten years, of a body registered within the Kingdom of Nepal with annual turnover exceeding fifteen lakh rupees,

(b) having obtained a bachelor's degree in commerce, business administration or management, or mathematics or economics, statistics, and having worked in accounting profession for five years remaining engaged in an accounting firm owned by a chartered accountant, or

(c) having obtained a bachelor's degree in commerce, business administration or management, or mathematics or economics, statistics, and having passed the class-promotion examination of Class "C" conducted by the Institute.

(4) When conducting the examination under Clause (c) of Sub-rule (2) or Clause (c) of Sub-rule (3), it shall be conducted, with full marks of 100 (one hundred) for each subject, in the following subjects:

(a) Direct or indirect tax system of Nepal,

(b) Commercial law of Nepal,

(c) Accounting and accounting standards,

(d) Auditing and auditing standards.

(5) A person who has fulfilled the qualification under Sub-rule (2) or (3) must apply to the Institute, in the format of Schedule-31 with the fee mentioned in Schedule-4, to have the professional certificate of Class "C" or "D" registered auditor class-promoted.

(6) If, on inquiry into the application under Sub-rule (5), the Council deems it appropriate to class-promote the professional certificate as demanded, it may class-promote accordingly.

(7) Other processes relating to class promotion shall be as per the class promotion procedure.

(8)[70] Notwithstanding anything written in Rule 54(3), the Council may, by calling applications within a stipulated time, promote registered auditors holding Class "D" professional certificates who have passed a bachelor's degree in commerce science or management science or business administration to the class of Class "C" professional certificate.

55. Continuing professional education programme:–

(1)[71] Every member must complete the continuing professional education programme of credit hours as prescribed by the Council for enhancing professional competence.

(2) The procedure of the programme mentioned in Sub-rule (1) shall be as determined by the Council.

(3) The continuing professional education programme to be conducted under this Rule shall commence from the date prescribed by the Council.

56. Non-Nepali citizens may conduct accounting profession:–

(1) Notwithstanding anything written elsewhere in these Regulations, a foreign citizen who has fulfilled the qualifications under these Regulations must, when conducting

[70]Amended by the Nepal Chartered Accountants (Fifth Amendment) Regulations, 2061.
[71]Amended by the Nepal Chartered Accountants (Fourth Amendment) Regulations, 2061.

accounting profession within the Kingdom of Nepal, register a partnership firm with a Nepali citizen.

(2) The nature, area and limits, etc. of accounting profession that may be conducted by an accounting firm with a foreign partner under Sub-rule (1) shall be as determined by the Council.

(3) Notwithstanding anything written elsewhere in this Rule, a foreign citizen who obtained membership of the Institute of Chartered Accountants of Nepal and was conducting accounting profession at the time of commencement of these Regulations must register a partnership firm under Sub-rule (1) within two years of commencement of these Regulations.

(4)[72] Notwithstanding anything written in these Regulations, a non-Nepali citizen member shall not be permitted to carry out business restricted under the Foreign Investment and Technology Transfer Act, 2075 and prevailing law.

Chapter-6
Provisions relating to Accounting Firms

57. Accounting firm must be registered:–

(1) A member conducting accounting profession must register a sole proprietorship firm, or a partnership firm with more than one member of his/her class or category as partners.

(2) To register a sole or partnership firm under Sub-rule (1), an application must be made to the Institute in the format of Schedule 32 with the fee prescribed by the Council from time to time and a copy of the partnership agreement made between the partners.

(3) The partnership agreement (Partnership Deed) made between the partners under Sub-rule (2) must, in addition to other matters, state the following matters:

(a) the number of shares taken by each partner,

(b) the procedure for admission of new partners or for partners leaving the partnership,

(c) provisions for dissolution of the partnership,

(d) provision as to whether or not to retain the name of the firm upon dissolution of the partnership,

(e) division of business, property and liabilities upon dissolution of the partnership,

(f) provisions relating to the liability of a partner separating from the partnership.

[72] Amended by the Nepal Chartered Accountants (Tenth Amendment) Regulations, 2061.

58. Name of accounting firm:–

(1) When registering an accounting firm under Rule 57, in the case of a sole firm the name of the firm owner, and in the case of a partnership firm the name of one partner or the names or surnames of the partners, must be reflected in full or in short.

(2) A firm under Sub-rule (1) may be registered with only the name of the owner of such firm, or with "& Company" or "& Associates" or "Associates" after the name.

(3) When registering the name of a sole or partnership firm under Sub-rule (1) or (2), it cannot be registered under an unrelated name.

However, if proof is submitted that a member registered an accounting firm under the then-prevailing Auditors Act, 2031 in the name of his/her spouse, a son or daughter to be maintained by him/her, or mother or father, such institution may be registered in that name also.

(4) If an accounting firm must be registered in the name of an accounting firm registered abroad, or with the name of such institution, or reflecting the name or relation of such institution, an agreement in that regard must have been made between the proposed accounting firm and such foreign institution, and a copy thereof must be submitted at the time of application.

(5) In an accounting firm with a foreign citizen as partner, the proportion of shares taken by him/her shall not exceed fifty-one (51) percent.

59. Registration and renewal of accounting firm:–

(1) If the Council deems it appropriate to register an accounting firm pursuant to an application received under Rule 57, it shall register it and give the concerned member a certificate of registration of the accounting firm in the format of Schedule-33 in the case of a sole firm and Schedule-34 in the case of a partnership firm.

(2) The registration certificate of the institution registered under Sub-rule (1) shall remain valid until the end of the fiscal year in which such registration was made.

(3) A member wishing to renew the registration certificate of an accounting firm registered under Sub-rule (1) may renew it by paying the renewal fee prescribed by the Council from time to time within sixty days of the expiry of the validity period.

(4) If a member cannot renew within the period under Sub-rule (3), he/she may renew by paying, within sixty days of the expiry of the period mentioned in that Sub-rule, the prescribed fee with an additional fee of fifteen percent, and if not renewed even within that period, thereafter within sixty days by paying the prescribed fee with an additional fee of twenty-five percent.

(5) The registration certificate of the accounting firm of a member who does not renew even within the period under Sub-rule (4) shall automatically be cancelled.

(6) The registration certificate of an accounting firm renewed under this Rule shall remain valid for one fiscal year.

(7)[73] The provisions relating to annual renewal of affiliation of an accounting firm which has obtained the approval of the Council for affiliation by obtaining membership of any domestic or foreign accounting firm or of an institution owning its network shall be as per Sub-rules (3), (4) and (5).

60. Dissolution and re-registration of firm:–

(1) The registration of an accounting firm shall be dissolved in any of the following circumstances:

(a) If the Council orders dissolution of registration,

(b) If the owner of a sole firm or, in the case of a partnership firm, all members jointly apply for dissolution of the firm,

(c) In the case of a sole firm, if the name of the proprietor is removed from the membership register or a decision is made to cancel his/her professional certificate.

(2)[74] The proprietor or partners of an institution whose registration has been dissolved may apply with the registration fee as per Schedule 4 and the firm may be re-registered in the same name; however, if re-registration according to rules has not been applied for within five years of dissolution and any other member has applied to register a firm in that name, it shall be registered in the name of the new applicant.

61. May direct to change name:–

(1) When taking action on an application for registration of an accounting firm under Rule 57, if the name of the proposed accounting firm duplicates the name of any such institution already registered, or even if not duplicated, is likely to be similar to or to cause confusion with the name of such already-registered institution, or the name of the proposed accounting firm is not appropriate to register for reasons of public policy, morality, integrity or public interest, the Institute may direct the concerned applicant to change the name, stating the reason therefor.

(2) If directed under Sub-rule (1), the applicant must comply with such direction, change the name of the proposed accounting firm and inform the Institute in writing.

62. Special provision regarding partnership:–

(1) If an accounting firm is registered as a partnership firm, every partner of such firm must have obtained a professional certificate.

(2) Notwithstanding anything written in prevailing law, there cannot be more than twenty partners in an institution under Sub-rule (1).

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[73]Inserted by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.

[74]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.

(3)[75] The provisions relating to opening a sole firm and a partnership firm by a member who has obtained a professional certificate shall be as follows:

(a) A member who has obtained a professional certificate cannot, at the same time, open more than one sole firm or be a partner of more than one partnership firm.

(b) A member who has a sole firm and wishes to be a partner in a partnership accounting practitioner firm must apply to the Institute to make the sole firm inactive. When the sole firm is thus made inactive, he/she may become a partner of the partnership firm. However, if the sole firm is made inactive, this shall not obstruct completion of the work already obtained by such sole firm.

(c) If wishing to renew a sole firm made inactive under Clause (b), he/she may apply to the Institute and have it renewed. However, accounting profession cannot be conducted so long as he/she remains a partner of the partnership firm under the name of that firm.

(4)[76] [Omitted by amendment]

(5) Notwithstanding anything written in Sub-rule (3), nothing written in that Sub-rule shall obstruct any member from becoming a partner of any accounting firm located abroad in that capacity by reason of being a member of a foreign accounting institute.

(6)[77] If a member wishes to convert a sole firm into a partnership firm or a partnership firm into a sole firm, he/she must apply to the Institute under Sub-rule (2) of Rule 57, attaching the original of his/her accounting firm registration certificate.

(7) If a partner of a partnership firm leaves such firm by mutual understanding, or a partner of such firm dies, the remaining partner(s), and if another person has become a partner in such firm, all partners, must inform the Institute within thirty-five days of the date of such act taking place.

(8) If in a partnership firm, due to a partner leaving the firm under Sub-rule (7) or the death of a partner, only one partner remains, he/she must apply within thirty-five days of the date of such act taking place to convert it into a sole firm under Sub-rule (6).

(9) If a partner is added to any accounting firm, or a partner leaves or retires from such firm, or such firm is dissolved or sold, the maintenance of the name of such firm shall be as per the agreement among the partners.

[75]Amended by the Nepal Chartered Accountants (Fifth Amendment) Regulations, 2061.
[76]Omitted by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[77]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.

63. Branch office may be opened:–

(1) A member wishing to open a branch office of his/her accounting firm at another place must apply to the Institute in the format of Schedule-35 with the fee prescribed in Schedule-4.

(2) In the management of a branch opened under Sub-rule (1), at least one member of the same class and category must be present.

(3) If an application is received under Sub-rule (1) and it appears reasonable, the Council shall grant approval to open the branch.

64. Duties and responsibilities of a member:–

Every member must comply with the following when conducting accounting profession:

(a) Ensure professional impartiality and independence,

(b) Comply with the professional conduct prescribed by the Council and the code of ethics issued,

(c) Maintain accounts and submit audit reports in accordance with Nepal Auditing Standards and Nepal Accounting Standards,

(d) A member who has obtained a professional certificate under Section 31 of the Act must, in the audit report prepared by him/her, disclose, in addition to other matters, the matters required to be disclosed under prevailing law,

(e) Comply with, and cause to comply with, the directives issued by the Council from time to time,

(f) [78]Not do or cause to be done any act against the interest of the Institute.

Chapter-7
Provisions relating to Functions, Duties and Powers of Office-bearers and Various Committees

65. Functions, duties and powers of President:–

(1) The President shall be the chief office-bearer of the Council and, in that capacity, in addition to what is provided in Section 10 of the Act, shall perform the following functions, discharge duties and exercise powers:

(a) Direct the Executive Director to call meetings of the Council,

(b) Determine the agenda of Council meetings,

(c) Conduct Council meetings and determine the order in which Council members are to speak,

(d) Adjourn any Council meeting if deemed unsuitable to conduct for any reason,

[78]Inserted by the Nepal Chartered Accountants (Fifth Amendment) Regulations, 2061.

(e) Conclude Council meetings,

(f) [79]Represent the Institute,

(g) [80]If information or notice is received that the Executive Director or a Council member has done any act against the interest of the Institute, make inquiries of them and inform the Council.

(2) Until a new President takes over charge after the term of the President ends, the President in office shall perform the functions, discharge duties and exercise powers of the President.

65A. [81]Service and professional certificate of President and Vice-President:–

(1) Subject to Sub-section (5) of Section 7 of the Act, the professional certificates of the elected President and Vice-President shall be deemed automatically inactive so long as they hold the post.

However, since they will be involved in the work of the Council, for the purposes of counting their period of accounting profession, remaining a partner in any audit firm and keeping registered trainees, their professional certificate shall be deemed valid for the period they are President and Vice-President.

66. Functions, duties and powers of Vice-President:–

In the absence of the President or when the post of President is vacant, the Vice-President may perform the functions, discharge duties and exercise powers of the President.

66A. [82]Functions, duties and powers of Council member:–

The functions, duties and powers of a Council member shall be as follows:

(a) Participate in meetings of the Council,

(b) Perform work assigned by the Council,

(c) Play a constructive role for the development of the accounting and audit sector,

(d) Work keeping the interest of the Institute paramount.

67. Term and meetings of Disciplinary Committee:–

(1) The term of members of the Disciplinary Committee constituted under Sub-section (1) of Section 14 of the Act shall be one year and, after the term expires, they may be nominated again.

(2) The procedure relating to meetings of the Disciplinary Committee shall be as prescribed in the Bye-laws.

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[79]Inserted by the Nepal Chartered Accountants (Fifth Amendment) Regulations, 2061.
[80]Inserted by the Nepal Chartered Accountants (Fifth Amendment) Regulations, 2061.
[81]Amended by the Nepal Chartered Accountants (Eighth Amendment) Regulations, 2061.
[82]Inserted by the Nepal Chartered Accountants (Fifth Amendment) Regulations, 2061.

68. Functions, duties and powers of Disciplinary Committee:–

(1) In addition to what is stated in Section 14 of the Act, the functions, duties and powers of the Disciplinary Committee shall be as follows:

(a) Investigate complaints filed with the Institute against any member under Sub-section (1) of Section 35 of the Act, or received from the Council,

(b) In the course of investigation, obtain the services of a legal adviser or concerned expert as necessary,

(c) After investigation, if the complaint is found factual and punishment is to be given under Sub-section (5) of Section 14 of the Act, submit a report with facts and opinion to the Council for punishment,

(d) After investigation, if the complaint is found not factual and is to be dismissed, or it appears that the complaint was filed only with the intention of causing distress, submit a report with facts and opinion to the Council for punishing the complainant in accordance with the Act,

(e) Perform other functions prescribed or delegated by the Council.

(2) The Disciplinary Committee shall submit an annual report of its activities to the Council.

69. Formation and term of Examination Committee:–

(1) The Examination Committee shall comprise the following members:

(a) President of the Council — Chairperson,

(b) Vice-President — Vice-Chairperson,

(c) Three persons nominated by the Council from among Council members — Member,

(d) Two persons nominated by the Council from among members — Member.

(2) The term of members of the Examination Committee shall be one year and, after the term expires, they may be nominated again.

70. Functions, duties and powers of Examination Committee:–

(1) The functions, duties and powers of the Examination Committee shall be as follows:

(a) Determine the examination procedure, and the date and place of examinations,

(b) Determine and amend the format of examination-related forms and submit them to the Council for approval,

(c) Arrange centre superintendents, invigilators and staff for examination centres and determine remuneration,

(d) Take/cause to be taken disciplinary action relating to examinations, hear examination-related complaints and give decisions,

(e) Prepare question papers for examinations, conduct moderation, have answer scripts examined, and determine the remuneration of examiners,

(f) Publish examination results,

(g) Conduct/cause to be conducted re-totaling and publish its results,

(h) Submit recommendations to the Council for decision regarding the determination of examination-related fees,

(i) Do other work necessary to conduct examinations smoothly,

(j) Do other work prescribed or delegated by the Council.

(2) The Examination Committee shall submit an annual report of its work to the Council.

71. Formation and term of Professional Guidance Committee:–

(1) The Professional Guidance Committee shall comprise the following members:

(a) President of the Council — Chairperson,

(b) Vice-President — Vice-Chairperson,

(c) Three persons nominated by the Council from among Council members — Member,

(d) Two persons nominated by the Council from among members — Member.

(2) The term of members under Sub-rule (1) shall be one year and, after the term expires, they may be nominated again.

72. Functions, duties and powers of Professional Guidance Committee:–

(1) The functions, duties and powers of the Professional Guidance Committee shall be as follows:

(a) Submit opinion and suggestions to the Council on the qualifications and processes to be determined for developing skilled manpower required for accounting profession,

(b) Conduct various training programmes with the cooperation of universities or other educational institutions or by the Institute itself,

(c) Formulate, amend, etc. the code of ethics for members and accounting practitioners and submit it to the Council for approval,

(d) Give theoretical or practical directives and guidance on various aspects of accounting and audit, and do other work necessary for professional development,

(e) Promote prevailing accounting standards, auditing standards and guidelines, and organize training, seminars, etc. to comply and cause to comply with them,

(f) Prepare a report to be submitted by the Council to the Nepal Government for the reform of various prevailing laws relating to industry, commerce, finance, revenue and accounting profession,

(g) Coordinate with universities and other educational institutions and, after preparing educational standards suitable for accounting and audit education, submit recommendation with opinion and suggestions to the Council,

(h) Conduct short-term or long-term training, seminars and workshops necessary to enhance the professional competence of members as per the programme approved by the Council,

(i) Publish materials relating to accounting profession,

(j) Arrange Continuing Professional Education for members,

(k) Do other work prescribed by the Council.

(2) The Professional Guidance Committee shall submit an annual report of its work to the Council.

73. Term of Executive Committee:–

Except for the Executive Director, the term of other members of the Executive Committee constituted under Sub-section (1) of Section 15 of the Act shall be one year and, after the term expires, they may be nominated again.

74. Functions, duties and powers of Executive Committee:–

(1) The functions, duties and powers of the Executive Committee shall be as follows:

(a) Prepare short-term and long-term plans, policies, rules and bye-laws, etc. for operating the Institute and submit them to the Council for approval,

(b) Implement/cause to be implemented programmes as per the approved policy and plan,

(c) After the annual programme and estimated budget of the Institute are approved by the Council, release the necessary budget for operating work,

(d) Monitor the financial position, annual progress, etc. of the Institute,

(e) Invest the capital of the Institute in secured sectors,

(f) Reward employees and, under prevailing law, punish, suspend or retire them; however, prior approval of the Council must be obtained before retiring an officer-level employee,

(g) Arrange internal audit and take action on its report,

(h) Give a reply to the preliminary report of the final audit and submit the final report to the Council,

(i) To approve the transfer of up to twenty-five percent of the amount of the budget heads into the heads of expenditure under which the estimated budget is found to be insufficient for any reason,

(j) Do all other work found necessary to operate the Institute by managing its financial and administrative work,

(k) Do other work prescribed or delegated by the Council.

(2) The Executive Committee shall submit an annual report of its work to the Council.

75. Other procedure relating to meetings of Standing Committees:–

With the approval of the Council, standing committees constituted under Sub-section (1) of Section 13 of the Act may themselves frame the procedure for conducting meetings and making decisions.

76. Formation of other committees:–

(1) The Council may, from time to time, form other committees under Sub-section (2) of Section 13 of the Act, accountable to itself, with the required number of members, also specifying their functions, duties, powers and procedure.

(2) The Council may nominate as members of committees, in addition to Council members and members of the Institute, office-bearers working in bodies or institutions of the Nepal Government or in other associations or institutions, or experts of the concerned sector.

(3) The term of members of committees so formed under Sub-rule (1) shall be one year and, after the term expires, they may be nominated again.

(4) A standing committee and other committees may, if they deem it appropriate, invite any person to meetings. A person so invited shall not have the right to vote at the committee meeting.

76A. [83]Formation, term, functions, duties and powers of Board of Studies:–

(1) To manage the chartered accountancy education and other education provided by the Institute, the Council shall constitute a Board of Studies as follows:

(a) One person from among the President, Vice-President or Council members — Chairperson,

(b) Four persons from among Council members — Member,

(c) Four education experts — Member.

(2) The term of office-bearers of the Board of Studies formed under Sub-rule (1) shall ordinarily be three years and, after the term expires, they may be nominated again.

(3) The Board of Studies under Sub-rule (1) shall be constituted in the first term of each new Council.

(4) The functions, duties and powers of the Board of Studies shall be as follows:

[83]Inserted by the Nepal Chartered Accountants (Fifth Amendment) Regulations, 2061.

(a) Recommend to the Council policy decisions regarding education, training and instruction required for chartered accountancy education,

(b) Recommend to the Council the preparation, revision and amendment of the syllabus of all levels of chartered accountancy education conducted by the Institute,

(c) On the basis of the syllabus approved by the Council, publish various textbooks and other educational materials useful to students,

(d) Conduct/cause to be conducted various educational programmes useful to students, make necessary arrangements regarding instruction and training, monitor, and do other work related thereto,

(e) Prepare question papers for the qualification assessment examination of students enrolled in the chartered accountancy course, determine evaluators, and make arrangements for evaluation,

(f) Take part in educational fairs, advertise, conduct student orientation, and take initiative for relations with universities, in order to promote and expand the chartered accountancy course,

(g) Do other education-related work prescribed by the Council.

(5) The Board of Studies shall submit an annual report of its work to the Council.

77. Vacancy of committee posts:–

The membership of a committee member shall fall vacant in any of the following circumstances:

(a) If he/she resigns,

(b) If absent from three consecutive committee meetings without written notice,

(c) If convicted by a court in a criminal case involving moral turpitude and sentenced,

(d) If of unsound mind,

(e) If he/she dies,

(f) If declared insolvent, being unable to repay creditors' debts,

(g) In the case of a member of the Institute, if the name is removed from the membership register under Section 22 of the Act.

78. Working groups and sub-committees may be formed:–

(1) A standing committee and other committees formed under Rule 76 may, if they find it necessary in the course of performing their work, form working groups or sub-committees.

(2) After the assigned work is completed and a report has been submitted to the committee, such working group or temporary committee shall automatically dissolve, except where the committee deems it necessary to hear further details.

79. Committees may delegate powers:–

Standing committees and other committees may delegate powers, on their own responsibility, to the Executive Director or any member of the committee or a sub-committee.

Chapter-8
Provisions relating to Complaint, Investigation and Report

80. [84]May file complaint:–

If anyone feels that a member has done any act contrary to the Act or the rules or code of ethics made under the Act, a concerned person or any person may file a complaint with the Institute, attaching the facts available, for action against such member.

However, no complaint fee shall apply when a body of the Nepal Government, or any other body prescribed by the Council as not liable to complaint fee, files a complaint.

81. Procedure relating to investigation of complaint:–

(1) The Institute shall send a complaint received under Rule 80 to the Disciplinary Committee for investigation.

(2) When investigating a complaint under Sub-rule (1), the Disciplinary Committee must send a copy of the complaint to the address of the member if the complaint has been received against a member, and to the address of such institution if the complaint has been received against an accounting firm, and give a written notice of at least fifteen days' time, also stating the punishment that may be imposed if proved, and give an opportunity to submit clarification as to why action should not be taken against such member or institution in that matter.

(3) If notice is given under Sub-rule (2), the accused member or accounting firm must submit its clarification point-wise on the accused matters within the period under that Sub-rule.

(4) If the Disciplinary Committee deems it appropriate, it may send a copy of the clarification received under Sub-rule (3) to the concerned complainant, giving a period of at least fifteen days, for response.

(5) If a response is demanded under Sub-rule (4), the concerned complainant must send his/her response within the period under that Sub-rule, and when sending such response must also state any evidence supporting any claim or allegation.

(6) To state his/her say or defend on the response received under Sub-rule (5), a period of at least fifteen days shall be given and a copy of such response shall be sent to the accused member or accounting firm.

[84]Amended by the Nepal Chartered Accountants (Tenth Amendment) Regulations, 2061.

(7) If the Disciplinary Committee deems it appropriate, it may demand additional details from the complainant or the accused member or institution, or demand any document or information.

(8) If any detail, document or information is demanded under Sub-rule (7), the concerned complainant, member or institution must send such detail, document or information.

(9) In respect of any complaint under this Rule, if the Disciplinary Committee wishes to take a statement of the complainant or the accused member or a partner of the institution, it may take his/her statement, and such complainant or member or partner may submit clarification themselves or by appointing a law practitioner.

(10) If the accused member or institution does not submit clarification under Sub-rule (3), or the clarification submitted is not found reasonable, or the response or clarification under Sub-rule (4) or (6) is not received, or the details, documents or information under Sub-rule (8) are not received, nothing written in these Regulations shall obstruct the Disciplinary Committee from proceeding with its action on the basis of the evidence and proof received.

(11) If the Disciplinary Committee finds another procedure appropriate to adopt when investigating any complaint under this Rule, it may determine and adopt it itself.

However, if such procedure is adopted, it must be mentioned in its report.

82. Not to take part in meeting of Disciplinary Committee:–

If the member against whom a complaint has been filed, or a partner or employee of such member's accounting firm, or a relative of any of them, is a member of the Committee, he/she shall not take part in the meeting of the Committee held on that matter.

83. Time limit for investigation:–

No action or investigation shall be taken on a complaint filed against a member or accounting firm relating to acts done more than three years earlier.

However, if a request for investigation is received from an authorized government body in respect of an act of a serious nature, or if the Council deems it appropriate that action and investigation be done on such act, action and investigation may be done in that regard.

84. Must submit report:–

(1) After investigating a member or accounting firm under Rule 81, the Disciplinary Committee must submit to the Council a report with the particulars of what happened and its opinion on the complaint.

(2) On receipt of a report under Sub-rule (1), the Council must dispose of the complaint following the process below:

(a) If the Disciplinary Committee has submitted a report to dismiss the complaint, the Council shall inform the complainant accordingly and give direction to dismiss the complaint.

(b) If a report has been submitted finding the accused member or institution guilty, the Council must provide a copy of the report to the concerned member or institution and give one more reasonable opportunity to submit a written clarification, personally or through a representative, as per Sub-section (7) of Section 14 of the Act. After receiving the written clarification from the accused member or institution, if it feels that further inquiry on any matter is necessary, the Council may direct the Disciplinary Committee to inquire further and submit the report again.

(c) [85]After completing the procedure of Clause (b) of Rule 84(2), if any or all partners of the accused member or institution are proved guilty, the Council must prescribe punishment under Sub-section (5) of Section 14 of the Act. The decision on disciplinary action taken by the Institute must be published in a national-level newspaper or on the website of the Institute.

Chapter-9
Provisions relating to Election

85. Election of Council members:–

(1) The election of Council members must be completed within the end of Jestha every third year.

(2) The election of Council members shall be on the basis of the Single Transferable Vote system.

(3) The other processes of election shall be as prescribed in the Election Bye-laws.

86. Election of President and Vice-President:–

(1)[86] The President and Vice-President must be elected within Ashadh of every year by the Council members elected under Rule 85 and those nominated by the Nepal Government, from among the Council members who have held Fellow Chartered Accountant (FCA) membership for at least five years and whose professional certificate is in force. If the professional certificate of the President and Vice-President elected under these Regulations is not in force, his/her post shall automatically fall vacant.

(2) The election of the President and Vice-President shall be on the basis of simple majority.

(3) Within seven days of completion of the election under Sub-rule (1), the President then in office must hand over charge to the newly elected President.

[85]Amended by the Nepal Chartered Accountants (Tenth Amendment) Regulations, 2061.
[86]Amended by the Nepal Chartered Accountants (Fifth Amendment) Regulations, 2061.

87. Appointment of Election Officer:–

(1) The Council shall appoint one Election Officer to conduct elections under Rules 85 and 86.

(2) The Council shall provide manpower, resources and means as required to the Election Officer appointed under Sub-rule (1) for the work of election.

88. Voters:–

(1)[87] Chartered Accountant members shall be voters in the election of Council members under Clause (a) of Sub-section (3) of Section 7 of the Act. However, foreign citizen members who have obtained membership of the Institute through Mutual Recognition Agreements with foreign accounting institutes and other similar means cannot be voters.

(2) Registered Auditor members shall be voters in the election of Council members under Clause (b) of Sub-section 3 of Section 7 of the Act.

89. Disqualification of candidate:–

A member in any of the following cases shall not be eligible to be a candidate in the election of the Council:

(a) [88]Period of ten years not completed after obtaining membership of the Institute,

(b) Six years not having elapsed from the date of completing the sentence, where sentenced to imprisonment by the Election Special Court constituted under prevailing law for an offence relating to election,

(c) Six years not having elapsed from the date of completing the sentence, where convicted in a criminal offence involving moral turpitude and sentenced to imprisonment of two years or more,

(d) Non-Nepali citizen,

(e) Name remaining registered in the chartered accountancy education conducted by the Institute,

(f) [89]Until two years have been completed after the period of disciplinary action by the Council.

[87]Amended by the Nepal Chartered Accountants (Tenth Amendment) Regulations, 2061.
[88]Amended by the Nepal Chartered Accountants (Fifth Amendment) Regulations, 2061.
[89]Amended by the Nepal Chartered Accountants (Tenth Amendment) Regulations, 2061.

Chapter-10
Provisions relating to Disposal of Documents

90. Disposal of documents:–

Documents held at the Institute that are declared useless, so that the written content cannot be read, understood or used in any way, must be classified as per Schedule-36 and disposed of from time to time.

91. Order to dispose of documents:–

(1) Documents other than those stated in the Schedule under Rule 90 as "never to be disposed of" shall be ordered to be disposed of by the Executive Director after the period stated in that Schedule has elapsed.

(2) When disposing of documents under Sub-rule (1), they must be disposed of in the presence of a person designated by the Council.

(3) Before disposing of the documents ordered to be disposed of under Sub-rule (2), a record must be maintained, certified, by writing the subject and brief content of the documents to be disposed of in the format of Schedule-37.

Chapter-11
Medal and Award Fund

92. [90]Medal and prize:–

(1) The Council may award medal or cash prize to students who pass the various levels of chartered accountancy examination under Rule 17 with high marks, and to students who, having passed the examination of various levels, obtain the highest marks subject-wise.

(2) Other provisions on awarding medals and prizes shall be as determined by the Council.

93. Individual and institutional prize fund:–

(1) Any Nepali or foreign citizen wishing to personally award a medal or prize to a student securing a position under Rule 92 in the chartered accountant examination may apply to the Institute to establish a fund for such medal or prize.

(2) The naming of the medal or prize established under Sub-rule (1) shall be as per the wish of the donor.

(3) A government or non-government association or institution registered under any separate Act or other law may apply to establish a fund to award a medal or prize institutionally.

(4) The naming of a medal or prize established under Sub-rule (3) shall be by the consent of the donor institution and the Council.

[90]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.

94. Must make agreement:–

If a proposal for establishing a fund under Rule 93 is received from a donor, the Executive Committee must submit the proposal to the Council with a recommendation and, after approval by the Council, an agreement must be made between the donor and the Institute as per Schedule-38.

95. [91]Establishment and operation of award fund:–

(1) A member of the Institute wishing to establish a medal or prize fund under Rule 93 may establish it by depositing a minimum amount determined by the Council from time to time.

(2) If a fund established under Sub-rule (1) cannot be operated continuously, or a member who established the fund does not wish to continue the fund established with his/her participation, the amount remaining in the fund may be transferred to any other fund as per the decision of the Council.

(3) Other provisions on the operation and management of the fund under Sub-rule (1) shall be as determined by the Council.

96. Separate account for fund amount:–

(1) The amount received for the fund and the return received on that amount must be deposited by opening a separate account at any commercial bank or financial company of Nepal.

(2) The operation and audit of the account under Sub-rule (1) shall be as per the rules of the Institute.

97. Donor has no right over amount deposited:–

Except for what is stated in the agreement made under Rule 94, the donor shall have no right over the amount received for the fund.

However, a donor wishing to increase the amount of the fund established by him/her may increase it with the approval of the Institute.

98. Administrative expense deduction:–

(1)[92] A maximum of five percent of the return received from a medal or prize fund under Rule 95 may be deducted as administrative expense.

(2) Ordinarily, not more than seventy-five percent of the return received in a year shall be spent on medals and prizes.

[91]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.
[92]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.

99. Giving more than one medal or prize:–

If, according to the result of the examination, there is more than one prize winner, medal or cash prize must be given to the winners.

100. Power to distribute or suspend:–

All power to distribute or suspend any medal or prize established under these Regulations shall vest in the Council.

Chapter-12
Miscellaneous

101. [93]Formation and term of Accounting Technician Board:–

(1) The Council shall constitute an Accounting Technician Board with the following members:

(a) President or Vice-President of the Council, or a past President of the Institute — 1 person, Chairperson,

(b) From among Council members — 5 persons, Member,

(c) From among those who have obtained an accounting technician licence and completed 5 years — 1 person, Member. For the purpose of Clause (c) of Sub-rule (1), the Council may nominate an independent expert until there is no person who has obtained an accounting technician licence and completed five years.

(2) The term of office-bearers of the Accounting Technician Board shall ordinarily be three years and, after the term expires, they may be nominated again.

(3) The Board may, if it deems it appropriate, invite any person to meetings.

(4) Other provisions regarding the Board shall be as prescribed in the Bye-laws.

(5) The Accounting Technician Board under Sub-rule (1) shall be constituted in the first term of each new Council.

(6) The qualification of accounting technicians, education, its syllabus, conduct of accounting technician examinations and the procedure relating thereto, the certificate to be given to accounting technicians, and the functions, duties and powers of accounting technicians shall be as provided by the Council in the Bye-laws.

102. [94]Must give notice if address changes:–

[95]A member of the Institute must inform the Institute within thirty-five days of any change in his/her address and the address of the accounting firm.

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[93]Amended by the Nepal Chartered Accountants (Fifth Amendment) Regulations, 2061.
[94]Amended by the Nepal Chartered Accountants (Fourth Amendment) Regulations, 2061.
[95]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.

103. [96]Quality review of accounting practitioners and accounting firms:–

(1) To independently inspect and monitor whether accounting practitioners, in the course of audit, have audited on the basis of the auditing standards issued by the Institute, and whether a quality control system exists in the accounting firm according to the quality standards issued by the Institute, such as the Nepal Standard on Quality Control (NSQC), the Council shall constitute a Quality Assurance Board as follows:

(a) Past President of the Institute, or a person retired from a Distinguished Class post of the Nepal Government or a post equivalent thereto — 1 person, Chairperson,

(b) From among Council members — 2 persons, Member,

(c) From among members of the Institute other than Council members (having at least ten years' work experience and not holding a professional certificate) — 2 persons, Member,

(d) Chairperson of the Securities Board or a director designated by him/her — 1 person, Member,

(e) Representative, Office of the Auditor General — 1 person, Member.

(2) The Quality Assurance Board under Sub-rule (1) shall be constituted in the first term of each new Council.

(3) The Chairperson of the Quality Assurance Board must be a person not engaged in accounting profession.

(4) The term of office-bearers of the Quality Assurance Board shall ordinarily be three years.

(5) The Institute shall provide the necessary financial, physical and manpower to the Board. The annual budget and programmes of the Board shall be operated by the Board autonomously after approval by the Council.

(6) The functions, duties and powers of the Board constituted under Sub-rule (1) shall be as follows:

(a) Prepare the policy and programme for Quality Assurance Review,

(b) Conduct/cause to be conducted quality review of accounting practitioner practice units in accordance with the Quality Assurance Review policy and programme, and effectively monitor it,

(c) If improvement is found necessary in any area when quality-reviewing an accounting practitioner practice unit, caution the accounting practitioner practice unit to improve and inform the Council,

[96]Amended by the Nepal Chartered Accountants (Fifth Amendment) Regulations, 2061.

(d) On the basis of deficiencies found when quality-reviewing an accounting practitioner practice unit, recommend to the Council to bar such accounting practitioner from auditing the concerned body or sector,

(e) Do other work prescribed by the Council.

(7) For the effectiveness of accounting profession, the Board must compulsorily conduct quality review of every accounting practitioner and accounting firm.

(8) The procedure relating to quality review of accounting practitioners and accounting firms shall be as prescribed by the Council.

104. Regional organizational arrangement:–

(1) Considering the number of members and requirement, the Council may create a regional organizational structure of the Council at the regional level.

(2) The form and operating procedure of the regional organizational structure shall be as provided in the Bye-laws.

105. Fee not refundable:–

No amount paid to the Institute shall be refunded, except a deposit, an amount paid in excess of the prescribed amount, or an amount not required to be paid under the Act, these Regulations or the Bye-laws.

106. Seal of the Institute:–

The seal of the Institute under Sub-section (1) of Section 3 of the Act shall be as stated in Schedule-39.

107. Copies to be given:–

If an examinee or member loses or has destroyed any marks sheet or certificate and applies with the fee prescribed by the Council, a copy may be provided.

108. Copy of case documents:–

If a concerned party comes to request a copy for the purpose of Sub-section (8) of Section 14 of the Act in respect of action and punishment taken under Sub-section (5) of the same Section, a copy of the relevant case documents may be given on payment of the fee prescribed by the Council.

109. [97]Letter deemed to have been served:–

A letter sent by the Institute to a member, except where the member has personally appeared and received it, may be sent by registered post or courier to the address of the member or to the email address maintained at the Institute. A letter so sent shall be deemed to have been served on the concerned member.

[97]Amended by the Nepal Chartered Accountants (Thirteenth Amendment) Regulations, 2061.

110. Terms of service of employees:–

The terms of service, remuneration and other facilities of the employees of the Institute under Sub-section (2) of Section 40 of the Act shall be as prescribed in the Bye-laws.

111. Schedules may be altered:–

The Council may revise, amend and alter the Schedules prescribed in these Regulations.

112. Removal of difficulties:–

The Council shall have the power to interpret these Regulations and to remove difficulties.

113. Repeal and saving:–

(1) The Nepal Chartered Accountants Regulations, 2056 has been repealed.

(2) Acts and actions done under the Nepal Chartered Accountants Regulations, 2056 before the commencement of these Regulations shall be deemed to have been done under these Regulations.